



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/11

May/June 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done!

This document has **12** pages. Any blank pages are indicated.

Basic Economic Problem 2
 Unlimited wants
 limited resources
 Scarcity

1 What is the cause of scarcity in an economy?

A high employment levels

B high investment levels

C unlimited resources (There are always limited resources)

☒ D unlimited wants

It shows combinations of outputs that an economy can produce with given resources and technology.

2 What does a point on a production possibility curve for an economy represent?

A economic growth is falling

B inefficient use of resources available

☒ C maximum output possible with current technology

D total demand for goods and services

→ output/quantity of two goods

3 What is most likely to increase enterprise as a factor of production in an economy?

A a decrease in government spending on education Enterprise ↓

☒ B a decrease in regulation on firms less rules, Enterprise ↑

C an increase in emigration people leaving the country

D an increase in taxation on firms discourages firms, less enterprise

Individual

4 Which economic activity would be classified as macroeconomics?

A households spend less on holidays abroad

☒ B income tax is increased by the government fiscal policy, macroeconomic

C wages rise for construction workers

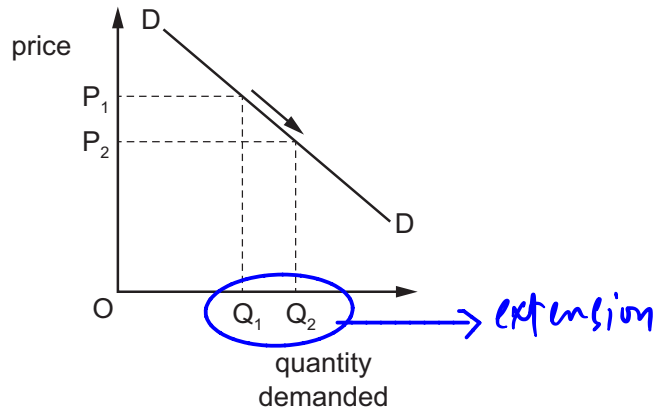
D world coffee price rises due to poor weather

a sector

→ a product

- 5 The diagram shows the effect of a decrease in price on the demand for a product.

↙
Extension and contraction
is used to show changes in
price.
movement along the
demand curve.



What does the arrow on the diagram illustrate?

- A contraction in demand (when price ↑)
B decrease in demand shift
C extension in demand
D increase in demand shift

$$PED = \frac{\% \Delta \text{ in Qd}}{\% \Delta \text{ in price}}$$

- 6 What is the correct formula to calculate price elasticity of supply?

- A the percentage change in price divided by the change in quantity supplied
B the percentage change in price divided by the percentage change in quantity supplied
C the percentage change in quantity supplied divided by the change in price
D the percentage change in quantity supplied divided by the percentage change in price

$PES > 1$, Elastic demand

- 7 What is the most likely cause of a product having a price elasticity of demand greater than one?

- A The product has a close substitute. Substitutes ↑, High responsiveness, Elastic
B The product is a habit-forming good. Inelastic
C The product is a necessity. Inelastic
D The product requires only a small proportion of consumer income. Inelastic

- 8 For some illnesses, wearing a face mask has a benefit as it could prevent people from getting infected. Not all people are willing to wear face masks.

Based on the statement above, why would there be an inefficient allocation of face masks in the free market?

A Consumers in the free market only consider private costs and benefits.

B Face masks are non-rival and non-excludable.

C There is abuse of monopoly power by the producer of face masks.

D There is perfect information in the free market.

Perfect competition

They ignore externalities

Masks are private good, not public good

Perfect information only exist under

upward movement

- 9 What would bring about a movement upwards along the supply curve for rice?

A a decrease in the productivity of farmworkers

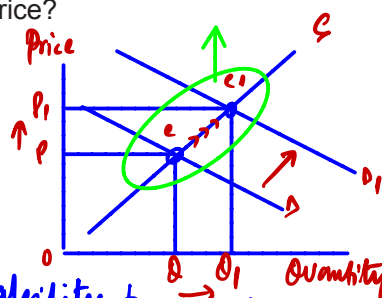
B a decrease in the profitability of rice production

C an increase in consumers' incomes

D an increase in farmworkers' wages

Shift in supply

Demand ↑ (movement in supply)



can be due to reduction in supply or demand Affects farmer's ability to spend.

- 10 A government decides to reduce air pollution in city centres by giving financial assistance to bus companies, reducing their costs of production and prices for passengers.

Which type of policy measure is this?

A a maximum price

B a minimum price

C a subsidy

D regulation

Below the equilibrium
Above the equilibrium

financial assistance

laws

- 11 What would be least likely to act as a store of value during a period of rapid inflation?

A cash

B gold

C property

D shares

Inflation erodes the value of money

value ↑ at time of inflation

- 12 A country's central bank raised the rate of interest from 1% to 4% per year.

How would this change have affected the amount saved and the cost of borrowing by individuals?

	amount saved	cost of borrowing
A	decreased	decreased
B	decreased	increased ✓
C	increased ✓	decreased
D	increased ✓	increased ✓

$\uparrow$ reward on saving $\uparrow$ $\uparrow$ cost of borrowing $\uparrow$
 same $\uparrow$ borrow $\downarrow$

- 13 Which factor would not increase the bargaining strength of a trade union to raise wages?

- A a rapidly growing economy $\rightarrow$ strength $\uparrow$, economy grows, $C \uparrow$, $D \uparrow$, profit $\uparrow$, wage $\uparrow$
 B high union membership in the industry $\rightarrow$ members $\uparrow$, strength $\uparrow$
 C legislation limiting strike action $\rightarrow$ limits strike, strength $\downarrow$
 D workers are in short supply $\rightarrow$ supply $\downarrow$, wages $\uparrow$, strength $\uparrow$

- 14 Which conditions are most likely to attract small firms to enter a market?

	the market for the product	fixed costs of entering the industry
A	local ✓	high
B	local ✓	low ✓
C	national	high
D	national	low ✓

can be
beared by
large firms.

catered
by large
firms

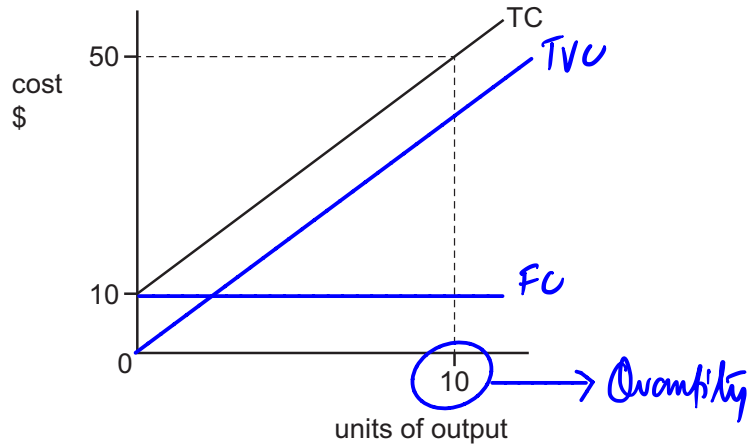
- 15 The diagram shows a firm's total cost (TC) curve.

$$TC = FC + VC$$

$$50 = 10 + x$$

$$x = 40$$

$$AVC = \frac{TVC}{Q} = \frac{40}{10} = \$4$$



$$AVC = TVC/Q$$

What is the average variable cost if the firm produces 10 units of output?

- ☒ A \$4 ☐ B \$5 ☐ C \$40 ☐ D \$50

- 16 The table shows the units of factors of production that a firm needs to employ for two different levels of output.

Inputs > output
cost ↑
Diseconomies of scale

Double

land	labour	capital	output
5	2	4	100
10	4	8	150

50% ↓
100% ↑

What is the firm experiencing?

- A constant returns to scale $Input = output$
☒ B diseconomies of scale $Input > output$
 C external diseconomies of scale
 D external economies of scale
- When industry grows

- 17 What is an example of a government macroeconomic aim?

- A a minimum of 10 years of schooling
 B a sales tax of 10% on consumer goods
☒ C a target rate of 2% inflation $low\ rate\ of\ inflation,\ price\ stability,\ macro\ aim$
 D increasing pay for nurses

Spending on education
is fiscal and
supply side

18 Government policy measures can affect economic activity in a country.

Which pair of monetary policy measures would be likely to increase employment?

A depreciate foreign exchange rates and increase education spending

B increase money supply and reduce interest rates

C provide subsidies and grants and lower sales tax

D reduce income tax and improve infrastructure

is fiscal policy.

Expansionsary monetary policy
Supply side

19 What would be **most** likely to encourage saving?

A a rise in the exchange rate

B a rise in the goods and services tax rate

C a rise in the income tax rate

D a rise in the interest rate

Appreciation } BOT:- deficit
X prices ↑
M prices ↓

Indirect tax ↑, real income ↓

Disposable income ↓, C ↓, S ↓

r ↑, reward for saving ↑. Save ↑

20 The government of a country operating at full employment increases its spending on education and training.

How does this affect the likelihood of achieving low inflation in the short run and the long run?

	short run	long run
A	less likely	less likely
B	less likely	more likely
C	more likely	less likely
D	more likely	more likely

* C ↑, Short term, AD ↑, price ↑,
So short run less likely to achieve
low inflation

* Spending on education and training,
tools of supply side, long term,
potential ↑, LRAS ↑, more likely to
achieve low inflation in long run.

8

Indelastic ($C.B > P.B$)

- 21 A government has introduced a tax on a necessity. Producers have passed on a large proportion of this tax to consumers in the form of higher prices. → goods (indirect tax)

Which row is correct?

	type of tax	price elasticity of demand
A	direct	price elastic
B	direct	price inelastic ✓
C	indirect ✓	price elastic
D ✓	indirect ✓	price inelastic ✓

occupational immobility

Primary to secondary to tertiary

- 22 What is most likely to lead to an increase in structural unemployment in a country?

- A The country is experiencing a period of negative economic growth. Cyclical
 B The country is experiencing a period of positive economic growth. Unemployment ↓
 C The country is moving from producing primary sector goods to secondary sector goods.
 D The country is moving towards more flexible labour markets. Unemployment ↓

Primary sector workers will be occupationally immobile

- 23 Which citizens are most likely to benefit in a period of rapid inflation?

- A citizens who are receiving fixed state benefits, loss, fixed amount received
 B citizens who earn fixed incomes e.g. pensions, loss
 C citizens who have lent money at a fixed rate of interest lenders loss, will receive less
 D citizens who have borrowed money at a fixed rate of interest

As they have to return less

- 24 Which statement is correct about the Human Development Index (HDI) and real GDP?

- A HDI includes exports and imports while real GDP does not.
 B HDI includes life expectancy and years of schooling while real GDP does not.
 C HDI includes the level of output while real GDP does not.
 D HDI includes the level of unemployment in the population while real GDP does not.

Real GDP = Nominal GDP - inflation

HDI :- Real GDP per head
 life expectancy (longevity)
 years of schooling (education enrollment)

less people die, so population ↑ **PAGE 9**

↳ life expectancy ↑, so population ↑

25 Other things being equal, what will cause a population both to increase and to age?

- A a fall in the birth rate *population ↓*
- B a fall in the death rate
- C a rise in both the birth rate and the death rate *Death rate ↑*
- D a rise in the death rate and a fall in the birth rate

↳ *population ↓*

26 Which change would be unlikely to be found in a country as it develops?

- A an increase in average incomes and a decrease in unemployment *most likely*
- B an increase in manufacturing production and an increase in shipping services *most likely*
- C an increase in subsistence farming and a decrease in financial services *Un likely*
- D an increase in tourism and an increase in the export of agricultural products *most likely*

↳ *service ↑*

27 It is cheaper for developed economies to buy some cereals from developing economies than to produce them domestically.

What might reduce international trade in cereals?

- A Cereals become less popular with the population of developing economies.
- B Developed economies place an embargo on cereal imports to prevent disease. *Ban!*
- C Governments tax cereal production in developed economies. *It will be imported*
- D Producers of cereals in developing economies are subsidised. *More exports, so more imports by developed economies*

(Protectionism)

28 A country imposes a quota on imported cars.

What is the **most** likely outcome of this action?

- A a decrease in the domestic output of cars *Domestic output ↑, as less cars will be imported*
- B a decrease in the domestic price of cars *Switch of demand, demand ↑, Prices ↑*
- C an increase in the tax revenue from car imports *It's quota not a tariff*
- D an increase in the total revenue of domestic car producers

↳ Yes, as domestic will switch to domestic cars
Expenditure switching policy

Sp : 1\$
10p : 1\$

- 29 An Argentine product initially sells in the US for \$50 when the exchange rate between the two countries is 5 pesos to 1 dollar.

50%.

$$\$50 \times 50\% = \$25$$

The exchange rate changes to 10 pesos to 1 dollar and the price of the product remains unchanged in Argentina.

\$ Appreciate

Pesos depreciate

What will be the new price of the product in the US?

- A \$5 ☒ B \$25 C \$100 D \$500

- 30 Which policy measure is **most** likely to reduce the current account deficit of the balance of payments of an economy?

A decrease the level of subsidies to domestic producers

Exports uncompetitive, deficit ↑

☒ B increase infrastructure spending to increase domestic productivity

C increase interest rates

Save ↑, spend ↓

D remove import tariffs

↳ AS ↑, prices ↓, exports competitive, deficit ↓

↳ more imports, deficit ↑

Contractionary fiscal policy

Question	Answer	Marks
1	D	1
2	C	1
3	B	1
4	B	1
5	C	1
6	D	1
7	A	1
8	A	1
9	C	1
10	C	1
11	A	1
12	D	1
13	C	1
14	B	1
15	A	1
16	B	1
17	C	1
18	B	1
19	D	1
20	B	1
21	D	1
22	C	1
23	D	1
24	B	1
25	B	1
26	C	1
27	B	1
28	D	1

Question	Answer	Marks
29	B	1
30	B	1